Safe Harbour in Danger

With the pillars of the UAE's growth areas such as aviation, tourism and logistics taking hits, the stability it promised investors has been shaken



The expected calm after the announcement of a two-week ceasefire appeared fragile in the United Arab Emirates. Minutes into the ceasefire, a pre-dawn strike hit the Habshan gas complex in the southwestern part of Abu Dhabi—the third attack on the site since March 19. The impact triggered a fire that was quickly contained, but not before three people—including two Emiratis and one Indian—were injured. For many, it was a reminder of how quickly the situation can change. In the Emirates' first public response, Anwar Gargash, diplomatic advisor to UAE president Sheikh Mohamed bin Zayed Al Nahyan, said the country had "triumphed in a war we sincerely sought to avoid", but cautioned that a ceasefire alone would not resolve the deeper risks driving instability in the region.

While the Dubai financial market reacted positively and jumped 6.7 per cent in early trade—its sharpest intraday gain in over six years—S. Babu, an Indian expatriate, standing on the balcony of his two-bedroom apartment in Dubai's Mankhool, was not as sanguine. Just two weeks ago, he lost his job when his logistics firm cut staff as shipping routes through the Strait of Hormuz began to choke. Inside, his sons were on their laptops, attending virtual classes that have replaced school. His wife has stopped asking what comes next. "I've been here 17 years," he says, gripping the railing. "My sons have grown up here. This apartment, their education, our life—it's all tied to Dubai. You don't just walk away from that."

The 11 million residents of the UAE, a federation of seven emirates—Abu Dhabi, Dubai, Sharjah, Ajman, Umm Al Quwain, Ras Al Khaimah and Fujairah—share Babu's predicament. As many as 89 per cent of the total population in the UAE are expatriates, with Indians accounting for four